

Done!



Cambridge International Examinations
Cambridge Ordinary Level

ECONOMICS

Paper 1 Multiple Choice

2281/12

October/November 2018

45 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarale mushtay

Solved with reasons

Send it!

This document consists of **10** printed pages and **2** blank pages.



1 Which factor of production is not represented in the list shown?

bananas	a factory	goats	a risk taking investor
---------	-----------	-------	------------------------

A capital *Machines, man-made resource*

B enterprise *Risk taker, Owner*

☒ C labour, *human resource, physical and mental effort*

D land *Natural resource*

2 What do economies aim to achieve in tackling the economic problem of scarcity?

A equal balance between public and private sectors

B equal reward for equal effort

C increased competition in the use of resources

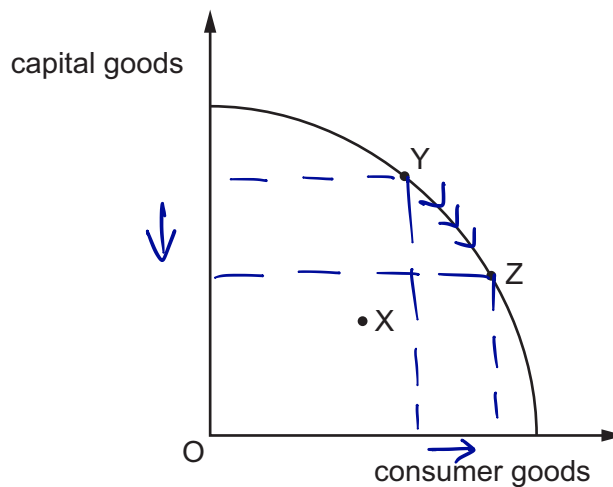
☒ D optimum allocation of finite resources
↳ limited

Unlimited wants but limited resources

*↓
Need for a choice arises*

No sense

3 The diagram shows a country's production possibility curve (PPC).



Which statement is correct?

A A movement from X to Y shows a decrease in efficiency in the economy. *increase*

B A movement from X to Z shows a discovery of new resources in the economy. *Actual ↑ not potential*

☒ C A movement from Y to Z shows resources are being diverted from capital goods to consumer goods. *Opportunity cost*

D A movement from Z to Y shows an increase in efficiency in the economy.

↳ Already efficient

- 4 China, the world's second largest economy, is becoming more like a market economy.

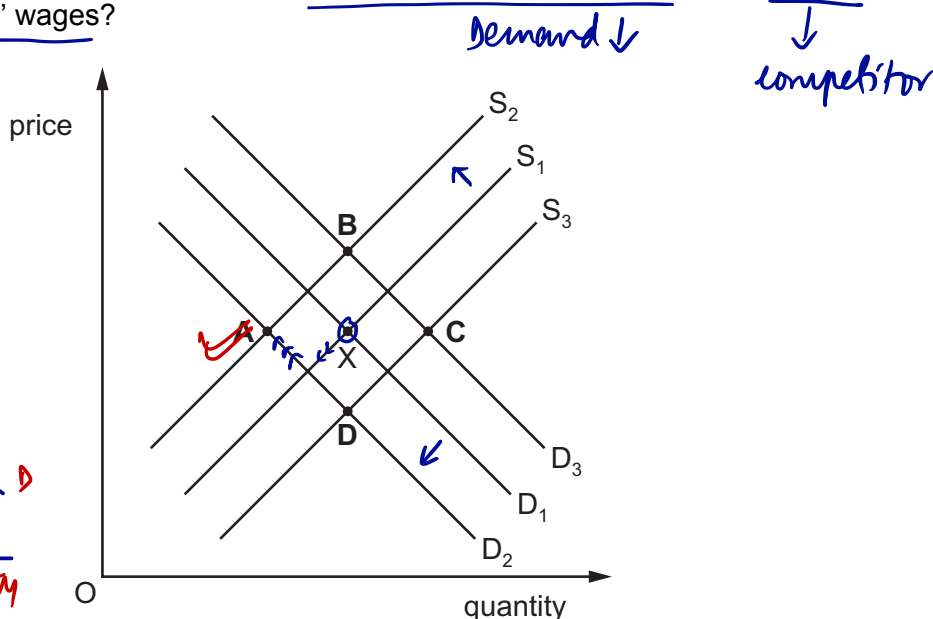
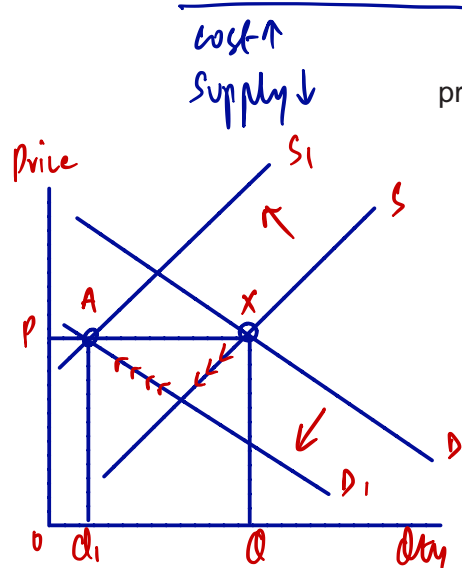
Which policy would contribute directly to such a change?

- A abolishing state control completely *Government policy*
 B encouraging consumers to spend more and save less *Government policy*
 C reducing exports and encouraging more imports *Government policy*
☒ D transferring wealth from the state sector to the private sector

↳ market economy

- 5 The diagram shows the market for a firm making clothing with an initial equilibrium of X.

What will be the new equilibrium if there is a successful advertising campaign by a rival firm and an increase in workers' wages?



- 6 Coal production in the UK has declined in recent years. One reason given for this is that the social cost of coal production is too high.

What best describes the social cost of coal production?

- A all the benefits of coal production minus all the costs of coal production *No*
 B the cost of the environmental damage caused by coal production *Only external cost*
 C the cost to the government of subsidising the coal industry *No*
☒ D the private costs of coal production plus the external costs of coal production

↳ Social cost = private cost + External cost

* Remember, always ignore negative sign as it only represents negative relationship between price and Qty^d demand, that is always negative

7 The table shows the demand and supply for spices in a market in Africa.

$$\% \Delta \text{ in } QD = -25\%$$

$$\% \Delta \text{ in price} = +50$$

$$PED = \frac{-25}{+50} \Rightarrow -0.5$$

price per kg (US\$)	quantity demanded (kg)	quantity supplied (kg)
10	50	10
20	40	20
30	30	30
40	20	40

$\Rightarrow$ ignored.

$$\frac{\% \Delta \text{ in } QD}{\% \Delta \text{ in price}}$$

When the price rises from US\$20 to US\$30 per kg, what is the price elasticity of demand (PED) for spices?

- A 0.25 ~~B 0.5~~ C 1.0 D 2.0

$$\frac{\text{New} - \text{old}}{\text{old}} \times 100$$

8 A central bank acts as a lender of last resort especially in times of financial crisis.

What is the purpose of this function?

A to cover credit card debts of consumers *Commercial*

☒ B to provide liquidity to the banking system

C to remove failing banks from the financial system *(Never)*

D to safeguard the profits of the banking system *Not the objective of central Bank*

A lender of last resort is there to prevent a country's financial system from collapsing. The role of the central bank as lender of last resort makes the creation of credit easier by boosting confidence in the banking system and reducing the risk of a bank run.

9 What will cause the level of savings in an economy to rise?

A a fall in investment, *less jobs, less incomes, same as option 'C'*

B a fall in real wages, *same as option 'C'*

C a rise in income taxes, *disposable income ↓, C ↓, saving ↓*

☒ D a rise in interest rates, *greater return on saving, & and saving have positive relationship*

10 What could affect the size of the labour force in an economy?

A the existence of a trade union *(can changed employed to Unemployed)*

☒ B the government's immigration policy *(more people coming in can be employed or unemployed, affecting labour force)*

C the quality of university graduates

D the ratio of male to female employees *(already part of labour force)*

- 11 Petrol (fuel) retailers in a country have noticed a sharp increase in sales in August when many people take their holidays.

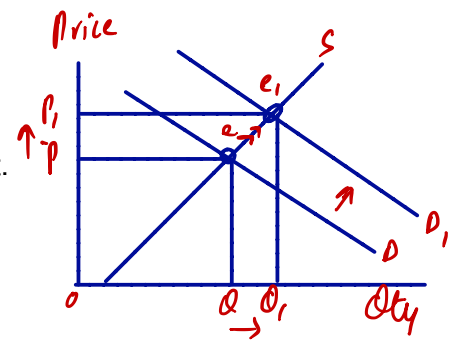
Why might this take place?

A Consumers' demand curve for petrol shifts to the left in August.

☒ B Consumers' demand curve for petrol shifts to the right in August.

C Oil refineries increase their output in August.

D Travel companies increase their hotel prices in August.



- 12 What is correct for firms in perfect competition? *There are 1000s of producers producing same product and the market share is so small that they can't influence the price level, thus known as price takers.*

A They achieve economies of scale.

☒ B They are price takers.

C They make use of non-price competition.

D They produce differentiated products.

(A, B and C, associated with large firms)

- 13 A film production company purchases a group of cinemas.

Of what is this an example?

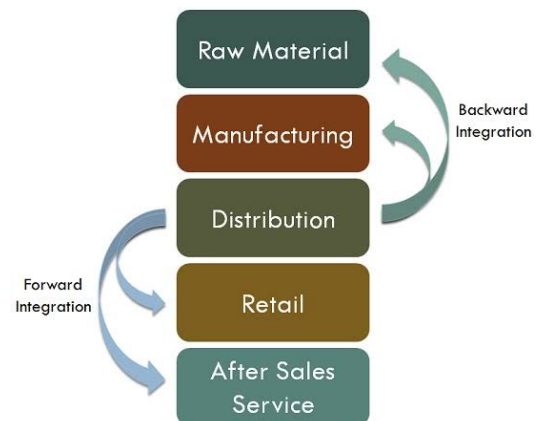
A backward vertical integration

B conglomerate merger

☒ C forward vertical integration

D horizontal integration

Forward integration is a business strategy that involves a form of vertical integration whereby business activities are expanded to include control of the direct distribution or supply of a company's products. This type of vertical integration is conducted by a company moving down the supply chain.



- 14 The table shows a firm's average revenue and average cost at different levels of output.

When all output is sold, which level of output gives maximum profit? *AR - AC*

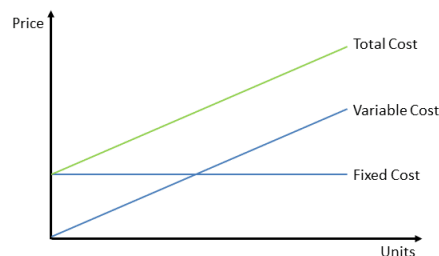
	output (units)	average revenue (US\$)	average cost (US\$)	<i>= Profit</i>
A	5	10	30	<i>\$ -20</i>
B	10	20	20	<i>\$ 0</i>
C	15	25	15	<i>\$ 10</i>
☒ D	20	30	18	<i>\$ 12</i>

In economics, fixed costs, indirect costs or overheads are business expenses that are not dependent on the level of goods or services produced by the business. They tend to be time-related, such as interest or rents being paid per month, and are often referred to as overhead costs

6

15 Which statement about total fixed cost is correct?

- A It falls as output increases.
- B It is calculated by adding total cost and total variable cost.
- C It is calculated by dividing total cost by output.
- ☒ D It must be paid even if output is zero.



16 A government aims to reduce unemployment through a supply-side policy measure.

Which measure would it use?

- A It would increase government spending. *Fiscal policy (Tax and a)*
- B It would increase tariffs on imported goods and services. *Fiscal policy (Tariff → Tax)*
- ☒ C It would introduce retraining schemes. *(Increasing mobility of workers)*
- D It would reduce the rate of interest. *(monetary policy)*

17 When is a government said to balance its budget? *Tax revenue and Government spending*

- A when all goods and services are taxed equally
- B when economic growth is the same in all regions of the economy
- ☒ C when its total income equals its total expenditure *Tax collection Government*
- D when total exports equal total imports *Related to Balance of trade*

18 The table shows the amount of tax paid as income rises in four countries, A–D.

Which country has a progressive tax?

	amount of tax (US\$) paid on income of:				
	10 000	20 000	30 000	40 000	50 000
A	2 000	4 000	6 000	8 000	10 000
☒ B	2 000	by 3k 6 000	by 6k 12 000	by 6k 18 000	by 7k 25 000
C	4 000	4 500	5 000	5 500	6 000
D	4 000	3k 7 000	2k 9 000	1k 10 000	2k 12 000

Increase by '10000'
Increase by '2000' constant
Rises with income rises
Raises by 500 → constant
fluctuating

A progressive tax is a tax in which the average tax rate (taxes paid ÷ personal income) increases as the taxable amount increases. The term "progressive" refers to the way the tax rate progresses from low to high, with the result that a taxpayer's average tax rate is less than the person's marginal tax rate.

A progressive tax is a tax that imposes a lower tax rate on low-income earners compared to those with a higher income, making it based on the taxpayer's ability to pay. That means it takes a larger percentage from high-income earners than it does from low-income individuals.

Full employment, Move incomes, AD ↑, fixed resources, Shortage, Prices ↑
 7
 inflation ↓

- 19 In which case is success for the government in achieving the first aim likely to cause problems in achieving the second?

	first aim	second aim
☒ A	full employment	price stability
☐ B	high economic growth	full employment
☐ C	price stability	stable balance of payments
☐ D	stable balance of payments	more even distribution of income

Don't conflict
 Don't conflict
 Don't conflict

Output ↑

- 20 Economic growth is usually measured by the annual change in

- ☒ A consumer spending.
☒ B gross domestic product.
☐ C the output of the manufacturing and construction industries.
☐ D the retail price index (RPI). (For inflation)

→ It is the value of all the final goods produced within the geographical boundary of a country within a given period of time, usually one year.

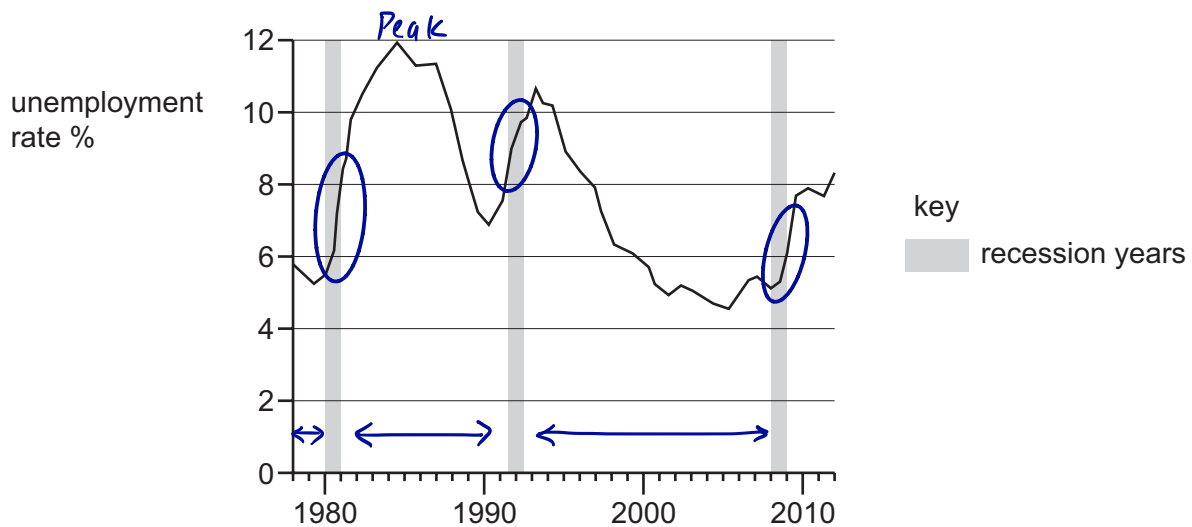
- 21 Four groups who are affected by changing economic conditions are creditors, debtors, exporters and importers.
 +ve/-ve

Which pair is most likely to be disadvantaged by a high rate of inflation?

- ☒ A creditors and exporters → Goods uncompetitive
☐ B creditors and importers → cheaper imported goods
☐ C debtors and exporters
☐ D debtors and importers
 Gain

During periods of rising prices, debtors gain and creditors lose. When prices rise, the value of money falls. This is because the value of money is less than when they borrowed the money. Thus the burden of the debt is reduced and debtors gain.

- 22 The diagram shows the rate of unemployment and the periods of recession in a country between 1978 and 2012.



What can be concluded from the diagram?

- A Each recession lasted for more than two years.
 B Recessions occurred at regular intervals.
 C The unemployment rate peaked in a recession period.
 D The unemployment rate rose during recession periods. *Yes! (circled)*
- 23 A country experienced its usual August increase in the rate of unemployment. Unfortunately this was followed by the loss of jobs resulting from the regular downturn in global economic activity.
→ particular time (seasonal)
↳ Recession / cyclical / Demand deficient
- Which types of unemployment occurred?

	first type of unemployment (August)	second type of unemployment (global downturn)
A	cyclical	structural
B	frictional	seasonal
☒ C	seasonal ✓	cyclical ✓
D	structural	frictional

Seasonal unemployment when people are unemployed at particular times of the year when demand for labour is lower than usual.

Cyclical unemployment is a factor of overall unemployment that relates to the regular ups and downs, or cyclical trends in growth and production, that occur within the business cycle. When business cycles are at their peak, cyclical unemployment will tend to be low because total economic output is being maximized

- 24 What will lead to an ageing population if other factors remain unchanged?

- ☒ A a fall in the birth rate
 B a rise in the death rate
 C an increase in the age of retirement
 D an increase in the state pension
- Population ageing is an increasing median age in the population of a region due to declining fertility rates and/or rising life expectancy. Most countries have rising life expectancy and an ageing population. Wikipedia
- less people living*
] not affecting ageing population

25 Which change is **most** likely to be expected when an economy is developing?

- A birth rates increase rapidly *Negative*
- ☒ B poverty rates fall *Positive*
- C unemployment levels rise *Negative*
- D the primary sector overtakes the secondary sector *Negative*

26 Developing countries are sometimes given aid by charities and foreign governments.

Which aid programme would be **least** likely to lead to long-term economic growth?

- A the building of an irrigation system *long term, better water, health*
- B the construction of a new airport *long term, jobs, incomes*
- ☒ C the distribution of gifts of food *(short term)*
- D the training of technical staff *long term, skills, productivity*

27 It is estimated that in 2016 the Olympic Games in Rio, Brazil attracted over 600 000 foreign visitors.

What is likely to have been the result of this number of visitors?

- A a depreciation of Brazil's currency, *Demand ↑, Appreciation*
- B a fall in Brazil's rate of inflation, *AD will rise*
- C an increase in the Brazilian government's budget deficit *(Govt spending > Tax revenue)*
- ☒ D a reduction in Brazil's deficit on the current account of its balance of payments

↓
Export of
services

28 What is **most** likely to happen if South Korea builds a factory in Switzerland that becomes profitable?

- A South Korea's imports of goods will decrease.
- ☒ B South Korea's investment income will increase. *Return on investment ↑, profits coming back*
- C Switzerland's trade balance in goods will worsen.
- D Switzerland's trade balance in services will improve.

X prices ↓, M prices ↑
X Qty ↑, M Qty ↓ 10

29 A country has experienced a devaluation of its currency.

What are the likely results of the devaluation?

	imports	exports
A	price decreases	value decreases
B	price decreases	value increases
C	price increases ✓	quantity decreases
D	price increases ✓	quantity increases ✓

(Expenditure switching policy)

30 The table shows the tariffs imposed on imported tropical fruit in the European Union (EU) according to the degree of processing.

	EU tariffs (% rate)
fresh tropical fruit	8.0
canned tropical fruit	11.3
bottled tropical fruit drinks	23.6

What might be the reason for this pattern of tariffs?

^{No}
A to encourage imports of processed products into the EU

B to encourage tropical countries' exports

~~C~~ to help manufacturing industries in the EU (Infant and declining industry)

D to help tropical countries develop manufacturing industries

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